(NSE: HDFCBANK)

Target: N/A | **Academic Research Report**

HDFC Bank Limited, incorporated in 1994 and headquartered in Mumbai, is one of India's largest private sector banks. It offers a full spectrum of banking and financial services spanning retail, wholesale, treasury, insurance, and investment segments. Its offerings include savings and current accounts, deposits, loans, credit and debit cards, trade finance, digital banking, and wealth management solutions. It serves individuals, businesses, and institutional clients with a strong focus on technology-driven financial solutions.

HDFC BANK
We understand your world

About the Business

HDFC Bank, India's largest private bank, spans across:
1) Retail Banking – Savings/current accounts, deposits, credit/debit cards, personal, auto, home, education, and gold loans, along with digital and mobile banking solutions.
2) Wholesale/Corporate Banking – Working capital, trade finance, cash management, structured finance, and supply chain financing for SMEs and corporates.
3) Treasury & Investments – Management of liquidity, currency and interest rate risk, trading in forex, derivatives, and debt instruments.
4) Other Financial Services – Insurance, investment products, custodial services, and wealth management.

Company Snapshot

Mkt Cap	14,60,538.56 Cr.
Div Yield	1.14%
P/B	2.86x
ROE	14.00%
High/Low	1018.15/806.70

Shareholding Pattern

FII	48.82%
DII	35.97%
Public	15.21%
Promoter	0.00%
Others	0.00%

(all amounts in ₹ crore)	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Revenue	128,552	135,936	170,754	283,649	336,367
Financing Profit	16,848	20,795	29,932	-44,685	-34,501
PBT	42,796	50,873	61,498	76,569	96,242
Net Profit	31,857	38,151	46,149	65,446	73,440
NPM	*24.78%*	*28.07%*	*27.03%*	*23.07%*	*21.83%*

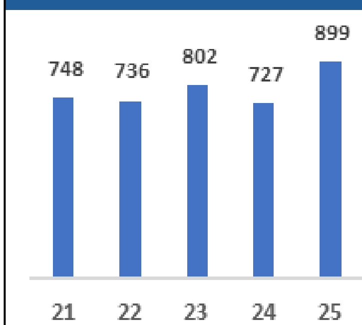
Financial Ratios

NIM	3.47%
ROA	1.74%
ROCE	7.51%
P/E	19.9x
EPS	₹92.81

Key points about the company

● Net profit of ₹73,440 crore in FY25, up 10.7% from ₹65,446 crore in FY24, showcasing strong post-merger resilience and operational efficiency.
● In July 2023, the company completed its amalgamation with its promoter, HDFC Ltd. With this merger, the bank now operates across various segments, including banking and insurance.
● The board's in-principle approval in July 2024 to initiate the listing of subsidiary HDB Financial Services Ltd has culminated in a successful IPO, marking an important milestone for the group.

Stock Performance (5 Yr)

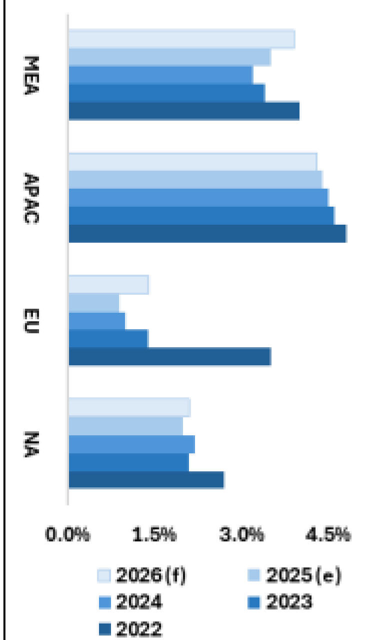


Global Economy

The World Economic Outlook from April 2025 said that global growth would be 3.0% in 2025 and 3.1% in 2026. This is an increase from those numbers. This shows that front-loading is happening before tariffs, effective tariff rates are going down, financial conditions are getting stronger, and major jurisdictions are expanding their budgets. Inflation around the world is likely to go down, while inflation in the US is expected to continue over target. The growth in US has cooled down with the Federal Reserve maintaining a cautious and steady stance. On the other hand, China and other Asian emerging markets are recovering strong than expected, providing some support to global trade.

Global financial conditions could tighten and long-term interest rates could rise as a result of larger fiscal deficits or greater risk aversion. This could reingnate financial market volatility when combined with worries about fragmentation. Positively, if trade talks result in a stable framework and a drop in tariffs, global growth may be boosted. By reducing tensions, maintaining price and financial stability, replenishing fiscal buffers, and enacting urgently needed structural reforms, policies must foster confidence, predictability, and sustainability.

Global Economic Outlook

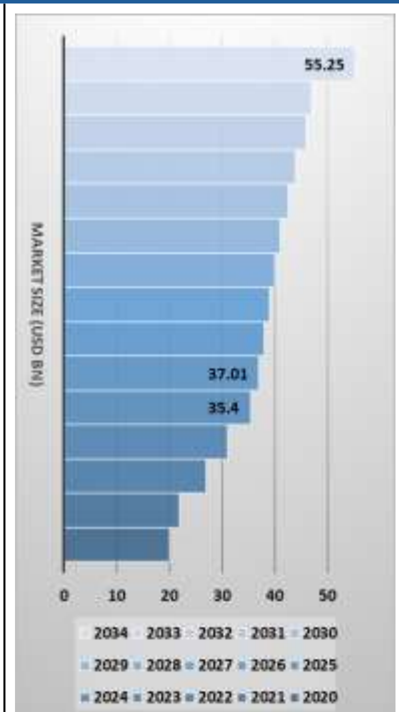


Source: IMF Real GDP Growth

Global Banking Industry

As we move towards the end of 2025, the world banking sector is demonstrating strong and persistent unpredictability. Despite the economic and geopolitical tensions, regulatory transitions and continuing debate around the interest rate, tariffs and asset quality, the return on equity for the banks worldwide has been near 12%, maintaining strong profitability. The banking sector has been more or less stable due to efficient risk management and strategic rebalancing, as well as reallocating asset portfolios to get higher yields. The global loan growth is expected to rise from 2% in 2024 to 6% in 2025 as a result of inflation cooling down, and the central bank might decide to cut interest rates, which will support the growth in net interest income. The projected growth for the banking market is $37.17 billion in 2025 to $55.25 billion by 2034 with a CAGR of 4.55%.

As with the advancement in technology and artificial intelligence, which is supported by the rising investments, the banking sector is going through a digital evolution. The estimated spending on IT by the banks is going to be $176 billion in 2025. The major portion of this will go towards new emerging technologies and enhancing the customer experience. The competitive advantage is being defined by new drivers such as AI-powered personalisation, local banking, and fintech collaboration. At the same time, the sectoral focus is on managing geopolitical risk, changing costs and promoting sustainable financing.



Credit: Market Research Future

Indian Banking Industry

Historically, the valuation of the Indian Banking sector has been low, reflecting opportunities and risks inherent in the industry. The P/E ratio has mostly ranged between 10x to 20x over the past 5 years. Looking ahead, the projected growth is around 12-14 % in FY26, under stable macroeconomic conditions and ongoing regulatory reforms. As interest rate falls and digital transformation gains momentum, the banks will provide higher ROE and better margins.

The key financial performance indicators include a record low Gross NPA ratio of about 2.4%, ROA of about 1.4% and rising net interest margins. In order to ensure stability against external shocks, banks in both the public and private sectors have increased their capital adequacy ratio above required levels.
Given the India's low credit penetration, there is a enormous scope of expansion for loan book and financial products. More open banking, green banking, GenAI for customer experience and compliance, and a greater emphasis on sustainable financing and MSME loans are all anticipated in the upcoming years.

HDFC BANK

HDFC Bank remains India's leading private sector bank in 2025, with steady increases in advances, deposits, and profitability. It boasts a customer base exceeding 9.7 crore and has over 39 lakh shareholders. The bank holds strong credit ratings with an ICRA rating of AAA and an S&P Global rating of BBB. It also continues to have one of the greatest asset attributes in the industry as a result of modern digital banking and strong risk management. The bank's strong technology, branch network, and integrated financial offering position it for future growth.

Distribution Network

HDFC Bank provides a strong national distribution network with 9,499 branches and 21,251 ATMs in more than 4,000 cities/towns catering to all customer segments. Over half its branches are located in semi urban and rural parts of the country, to serve the customers in these centres where there is limited banking access.

Through this powerful mix of physical and digital infrastructure, HDFC Bank enables efficient, secure, and customer-friendly banking nationwide and globally.

Merger

The HDFC Bank Group is now a financial conglomerate in the true sense of the term. It now has a sizeable presence in insurance (both life and general), mutual funds, brokerage and alternative investments. FY25 marked the first full year of operations of the combined Group and it now stands strengthened, much bigger in scale, broadened in capability and more unified in purpose.

HDFC Bank's acquisition of HDFC Ltd.'s ₹7.7 lakh crore in assets has established India's largest private sector bank, significantly enhancing its scale and market position. The merger significantly enhances the bank's position in retail housing loans, immediately increasing its advances to ₹6.1 lakh crore and facilitating strong cross-selling with HDFC Ltd.'s current clientele. The inherited liability structure emphasizes transitioning from expensive borrowings to cheaper deposits, with the goal of enhancing net interest margins gradually. Through the "pooling of interest" accounting approach, the bank sidesteps goodwill expenses and instead notes an amalgamation reserve to represent the asset values and share exchange. Although current shareholders faced dilution, the bigger and more diversified bank is anticipated to foster long-term EPS growth and enhance shareholder value. The declaration of a ₹22 dividend per share for FY2025 highlights management's belief in the merged entity's capacity to generate robust profits and consistent returns following this significant corporate merger.

After the merger, the count of HDFC Bank's subsidiaries has expanded from 2 to 14 with five recognized as main subsidiaries. This possesses greatly improved HDFC Bank Group's capacity to provide thorough fiscal remedies to enhance and extend customer connections.

HDFC Life Insurance Company Limited

50.30%

HDB Financial Services Limited

94.30%

HDFC ERGO General Insurance Company Limited

50.30%

HDFC Asset Management Company Limited

52.50%

HDFC Securities Limited

94.50%

Technology and Digitisation

Technology has been and is a core differentiator for HDFC Bank— the full digitisation of a majority of retail/MSME product acquisition journeys and the key service journeys, and now the focus has moved to improving real-time credit decisioning at scale. The bank is moving towards a more centralised, platform-driven, structured model where GenAI is used to address specific problem categories, such as increasing employee productivity, expediting processes, or boosting customer support. GenAI will enhance the ability to innovate, remain resilient, and provide value for the future as digital use increases. This strategy strengthens the bank's commitment to establishing a modern banking institution, propelling the future of smart and inclusive banking in India, an entity that is evolving and changing while remaining cautious, providing a unique customer experience through pioneering digital initiatives that emphasise technological creativity to ensure high-quality service.

The bank refines its products and streamlines processes by leveraging the Net Promoter System to gather and act on customer feedback. Nearly 97% of all transactions are now done through digital channels. Additionally, HDFC Bank has recorded over 3.7 Crore customer engagements monthly, which reflects higher customer loyalty. Also 99% of all personal loans are initiated digitally.

Cyber Security

HDFC Bank has been scaling up its investments in cybersecurity systems, prompted by the growing complexity and magnitude of cyber risks. Over the past year, the bank has made investments in advanced and integrated AI-driven security, proactive threat identification, ongoing validation and resilience against attacks. The bank has set up a next-generation Cyber Security Operations Centre (CSOC) wherein advanced AI/ML analytics is integrated and real-time analytics is designed. Employee and customer awareness are the vital components of this strategy. The backbone of the system is vulnerability assessment and penetration testing, attack surface monitoring, patch management and proactive detection. A zero-trust philosophy ensures the bank's defence position by 24/7 monitoring of all high-risk transactions and dual authentication for critical operations.

The Vigil Aunty initiative increases cyber awareness among customers, educating users about phishing tactics, identity theft and safe transaction habits. Third-party risk management has become critical, as highlighted by industry data breaches. The bank responded to past breaches with transparent communication, strict compliance with RBI and DPDP (Digital Personal Data Protection) guidelines.

ESG

A strong, multi-tiered ESG governance framework has been established by HDFC Bank to guarantee sustainability. The bank is aiming to achieve carbon neutrality by FY 2031-32 and reduce energy footprint through renewable energy adoption, energy-efficient infrastructure, and automated energy management. The bank has adopted responsible waste disposal, minimise paper and plastic use and implement water-saving technologies across premises.

The bank has established itself as a leader in corporate social responsibility (CSR) through its Parivartan initiatives, which have positively affected over 100 million people across various states and union territories in India. Key rural programs, such as Holistic Rural Development, have benefited thousands of villages by offering support in agriculture, financial literacy, healthcare, and education. In FY 2025, the bank enhanced its commitment by emphasizing natural resource management, including solar energy, waste management, afforestation, and water conservation. These initiatives, supported by strong partnerships, demonstrate HDFC Bank's commitment to empowering communities and creating long-term value for all stakeholders.

Management and Leadership

Sashidhar Jagdishan, the bank's current managing director and chief executive officer, assumed leadership in 2020 and has effectively managed HDFC Ltd's integration, guiding the bank through a significant merger while preserving growth and profitability.
The Board of Directors is chaired by Atanu Chakraborty, ensures strong oversight and a balanced group of independent and executive directors with backgrounds in risk, technology, finance, and governance.
Other key executives include Deputy Managing Director Kaizad Bharucha and Executive Director Bhavesh Zaveri, both of whom are seasoned banking professionals with deep institutional knowledge and operational excellence backgrounds.
The average tenure of the senior management team is more than ten years, indicating stability and a thorough understanding of the bank's past and goals for the future.
In FY 25, there were 20 incidents of corruption, wherein employees were dismissed or disciplined for corruption
There are 7 out of 13 Independent Directors and 23% Women Representation on the Board.

Concall Analysis

● Average deposit growth remained strong at 16% year-on-year, continuing the bank's trend of market share gains.

● Asset growth momentum has revived to 8% in the June FY26 quarter, with management confident of matching system loan growth by FY26 and surpassing it by FY27.

● Approximately 70% of the asset side is floating rate, while liabilities are mostly fixed, exposing margins to adverse impact in a rate cut scenario.

● Margin headwinds may emerge if the interest rate cycle turns downward, with the eventual impact dependent on pace and depth of rate cuts.

● HDB Financial Services was listed during the quarter, with the bank diluting some stake.

● Asset quality remains healthy, supporting growth in both assets and deposits as liquidity and loan demand improves.

● The June 50 basis point EBLR change is still being absorbed; full impact takes 1–3 months due to various reset cycles.

● At merger close in July 2023, the bank faced a "day zero" adjustment, increasing CD ratio from around 37-38% to about 41%. Management prioritized reducing the elevated credit-deposit ratio, which was as high as 110% post-merger.
This involved a dual approach: slowing loan growth and aggressively increasing deposits to meet incremental reserve requirements and create deposit momentum.

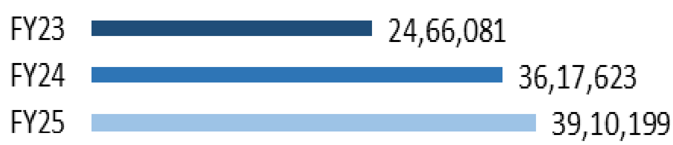
● Mortgage disbursal growth is deliberately slowed due to competitive pricing pressures, particularly from public sector peers offering rates around 7.1-7.3%. While, Non-mortgage retail asset disbursals grew strongly, at about 9% year-on-year, reflecting healthy demand outside mortgages.

● The cost-to-income ratio has improved and currently stands around 39.6%, indicating operational efficiency gains despite balance sheet restructuring.

● Current CD ratio stands around 95-96%, down slightly from last quarter's 96%. The medium-term aspiration is to bring the CD ratio down to pre-merger levels of approximately 87-88%. Management expects loan growth to align with the system in FY26 and outperform it in FY27, supporting CD ratio normalization over time.

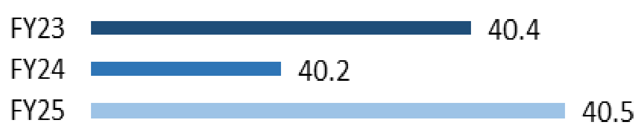
Financial performance

Balance Sheet Size (Cr)



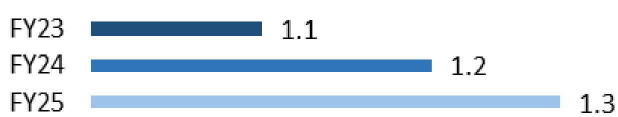
The Balance Sheet size grew by 8.1 per cent in the fiscal, with a 14.1 per cent increase in Deposits and a 5.4 per cent growth in Advances. The Bank consolidated its position as the largest private sector bank by Balance Sheet size in India without compromising on asset quality.

Cost to Income Ratio (%)



The Cost to Income Ratio marginally increased to 40.5 per cent in FY25 from 40.2 per cent in FY24. The Bank added over 700 branches in the Financial Year ended March 31, 2025. The Net Interest Margin was at 3.48 per cent.

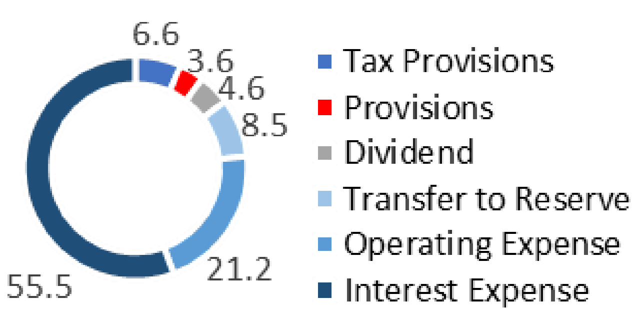
Gross NPA Ratio (%)



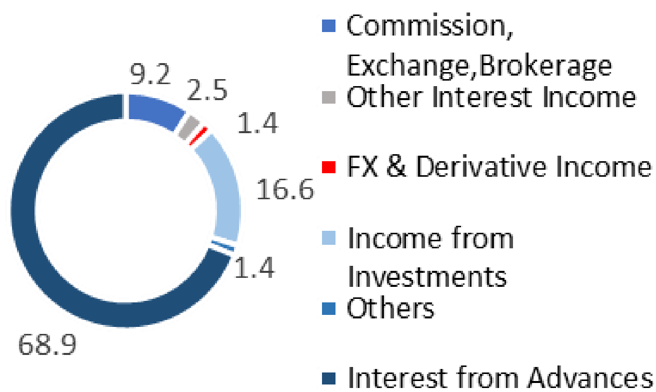
Through the extensive reach across 9,455 branches as well as a strong digital footprint. Our Profit After Tax grew by 10.7 per cent and GNPA stood at 1.33 per cent.

Source: HDFC BANK Annual Report

Rupee Spent FY25 (%)



Rupee Earned FY25 (%)



LIQUIDITY COVERAGE RATIOS

	Quarter Ended Mar 31,2025	Quarter Ended Dec 31,2024	Quarter Ended Sep 30,2024	Quarter Ended Jun 30,2024
	Total Adjusted Value	Total Adjusted Value	Total Adjusted Value	Total Adjusted Value
TOTAL HQLA	725,568.81	711,888.62	669,069.46	632,856.73
Total Net Cash Outflows	609,948.65	568,681.24	526,619.36	513,858.65
Liquidity Coverage Ratio(%)	**118.96%**	**125.18%**	**127.05%**	**123.16%**

The LCR is calculated by dividing a Bank’s stock of HQLA by its total net cash outflows over a 30-day stress period. The present minimum requirement, as on March 31, 2025, is 100%. The average LCR for the quarter ending March 31, 2025, stood at 118.96% compared to 114.73% for the quarter ending March 31, 2024, and exceeded the current minimum requirement of 100%. The average HQLA for the quarter ending March 31, 2025, was 725,568.81 crore, compared to 558,424.94 crore for the quarter ending March 31, 2024. In the same timeframe, the makeup of government securities and treasury bills in the HQLA stood at 96.55%, up from 95.74% in the last year.

For the quarter ending March 31, 2025, derivative exposures (after accounting for cash inflows) / collateral requirements and undrawn commitments represented approximately 0.47% and 1.28% respectively of average cash outflow, compared to 0.59% and 1.54% respectively for the quarter ending March 31, 2024. The Bank relies heavily on deposits for a substantial part of its funding. As of March 31, 2025, the leading 20 depositors accounted for 4.32% of total deposits, reflecting a robust and stable deposit profile.

Common Equity Tier 1 (‘CET1’), Tier 1 and Total capital ratios

Particulars	June 30, 2025 (% of RWA's)		
	Standalone	Consolidated	Minimum
CET1 capital ratio	17.36	17.14	8.40
Tier 1 capital ratio	17.81	17.57	9.90
Total capital ratio	**19.88**	**19.58**	**11.90**

As of March 31, 2025, the Bank’s overall CAR, determined according to Basel III Regulations, was 19.8 percent, significantly surpassing the minimum regulatory requirement of 11.9 percent, which includes a Capital Conservation Buffer of 2.5 percent and an extra requirement of 0.2 percent due to the Bank being recognized as a Domestic Systemically Important Bank. Tier I Capital stood at 17.7 percent as of March 31, 2025.

This continuous enhancement demonstrates robust internal capital generation, careful growth of risk-weighted assets, and a successful capital management approach following the merger with HDFC Ltd. The capital structure mainly consists of Tier 1 capital, highlighting the bank’s dependence on top-tier, loss-absorbing assets.

A higher CAR shows that HDFC Bank can easily manage potential losses from credit, market, or operational risks while still growing its loan portfolio. The bank's strong ratio fosters persistent business expansion and maintains lasting confidence from investors and depositors

Peer comparison

COMPANY	PRICE (RS.)	MKT CAP (CR.)	P/B	P/E	EPS (RS.)	ROE (%)	ROA (%)	NET NPA	CAR
HDFC Bank	951.85	14,62,151.52	2.82	21.09	45.13	14.40	1.79	0.43	19.55
ICICI Bank	1,378.00	9,84,935.84	3.28	20.13	68.47	18.16	2.37	0.42	16.55
Kotak Mahindra Bank	2,019.60	4,01,317.86	3.33	29.77	67.8	15.39	2.54	0.31	22.25
SBI	861.55	7,94,248.49	1.70	10.88	79.11	18.57	1.1	0.47	14.25
Axis Bank	1,168.60	3,62,713.90	1.96	13.87	84.26	16.04	1.71	0.35	17.07

Source : Ticker finology

Key Obseravtions :

1) Market Leadership : HDFC Bank has the highest market capitalization and thus remains the lead in the industry, followed by ICICI Bank and SBI. This shows that investors are confident about the stability and growth prospects of HDFC.

2) Valuation and Profitability : Kotak Mahindra Bank has the highest P/E ratio, which means that investors are either expecting substantial growth or are willing to pay more for stability. Despite generating the highest EPS, SBI trades at the lowest P/E and P/B ratios, indicating that its value is more conservative due to its public sector nature. The highest ROA, a measure of operational efficiency, is provided by ICICI Bank and Kotak Mahindra Bank.

3) Return Metrics : With a strong return on shareholders' equity, SBI has the highest ROE, closely followed by ICICI Bank and Axis Bank. HDFC Bank combines risk management and profitability to maintain consistent ROE and ROA.

4) Asset Quality and Safety : The best asset quality among peers is indicated by Kotak Mahindra Bank's lowest Net NPA ratio, which is followed by ICICI and Axis Bank. Strong risk controls are indicated by the exceptionally low Net NPA ratios of HDFC Bank and ICICI Bank. Strong capital buffers are indicated by the top CARs (Capital Adequacy Ratio) of Axis Bank and Kotak Mahindra Bank.

Key Risks and Mitigants

1) Credit risk at HDFC Bank is managed by setting clear risk policies, regular portfolio reviews, and defined risk limits. The Chief Credit Officer leads oversight of credit strategy and underwriting, focusing on maintaining high asset quality with optimal risk-reward balance.

2) HDFC Bank manages operational risk through a Board-approved policy and a three-line defense system: business operations, an independent risk management department, and internal audit. These layers coordinate to monitor and minimize losses from operational risks.

3) HDFC Bank controls market risk with Board-approved policies and strong limit systems at trading and portfolio levels. It monitors exposure closely, transacts only with capable counterparties, and optimizes profits within liquidity and risk limits.

4) HDFC Bank manages liquidity risk through a robust Asset Liability Management policy focused on maintaining healthy liquidity buffers like LCR and NSFR. The bank monitors cash flows and interest rate risks continuously, manages intraday liquidity actively, and uses derivatives when needed to maintain a competitive cost of funds and stable interest rate profile.

HISTORICAL FINANCIAL STATEMENTS OF HDFC BANK (CONSOLIDATED)

BALANCE SHEET OF HDFC BANK

PARTICULARS (₹ in Cr.)	Mar '21	Mar '22	Mar '23	Mar '24	Mar '25
CAPITAL AND LIABILITIES					
Capital	551.28	554.55	557.97	759.69	765.22
Employees stock options outstanding	-	-	1,117.20	2,652.72	3,805.19
Reserves and surplus	2,09,258.90	2,46,771.62	2,87,762.33	4,52,982.84	5,17,218.98
Minority Interest	632.76	720.41	860.26	13,383.40	16,359.04
Deposits	13,33,720.87	15,58,003.03	18,82,663.25	23,76,887.28	27,10,898.23
Borrowings	1,77,696.75	2,26,966.50	2,56,548.66	7,30,615.46	6,34,605.57
Other liabilities and provisions	77,646.07	89,918.19	1,00,922.77	1,74,832.07	1,88,163.66
Policyholders' funds	-	-	-	2,78,080.80	3,20,601.53
Total	17,99,506.63	21,22,934.30	25,30,432.44	40,30,194.26	43,92,417.42
ASSETS					
Cash and balances with Reserve Bank of India	97,370.35	1,30,030.71	1,17,189.28	1,78,718.67	1,44,390.25
Balances with banks and money at call and short notice	23,902.16	25,355.02	79,958.53	50,115.84	1,05,557.65
Investments	4,38,823.11	4,49,263.86	5,11,581.71	10,05,681.63	11,86,472.89
Advances	11,85,283.52	14,20,942.28	16,61,949.29	25,65,891.41	27,24,938.16
Fixed assets	5,099.56	6,283.28	8,282.56	12,603.76	15,257.94
Other assets	48,879.14	90,910.36	1,51,322.28	2,17,182.95	2,15,800.53
Goodwill on Consolidation	148.79	148.79	148.79	-	-
Total	17,99,506.63	21,22,934.30	25,30,432.44	40,30,194.26	43,92,417.42
Contingent liabilities	9,75,280.66	14,00,197.64	17,50,953.81	23,44,487.73	23,44,487.73
Bills for collection	44,748.14	56,968.05	71,439.54	65,332.87	65,332.87

INCOME STATEMENT OF HDFC BANK

PARTICULARS (₹ in Cr.)	Mar '21	Mar '22	Mar '23	Mar '24	Mar '25
I. INCOME					
Interest earned	1,28,552.40	1,35,936.41	1,70,754.05	2,83,649.02	3,36,367.43
Other income	27,332.88	31,758.99	33,912.05	1,24,345.75	1,34,548.50
Total	**1,55,885.28**	**1,67,695.40**	**2,04,666.10**	**4,07,994.77**	**4,70,915.93**
II. EXPENDITURE					
Interest expended	59,247.59	58,584.00	77,779.94	1,54,138.55	1,83,894.20
Operating expenses	35,001.26	40,312.43	51,533.69	1,52,269.34	1,76,605.07
Provisions and contingencies	29,779.66	30,647.74	29,203.77	36,140.38	36,976.49
Total	**1,24,028.51**	**1,29,544.50**	**1,58,517.40**	**3,42,548.27**	**3,97,475.76**
III. PROFIT					
Consolidated Net Profit for the year before Minority Interest	31,856.77	38,150.90	46,148.70	65,446.50	73,440.17
Less : Minority Interest	23.56	98.15	151.59	1,384.46	2,647.92
Consolidated Net Profit for the year attributable to the group	31,833.21	38,052.75	45,997.11	64,062.04	70,792.25
Brought forward consolidated profit attributable to the group	61,817.68	78,594.20	99,062.77	1,20,369.35	1,50,045.57
Additions on Amalgamation (net)	-	-	-	3,570.10	-
Total	**93,650.89**	**1,16,646.95**	**1,45,059.88**	**1,88,001.49**	**2,20,837.82**
IV. APPROPRIATIONS					
Transfer to Statutory Reserve	7,879.70	9,444.38	11,445.96	15,684.72	17,260.30
Transfer to General Reserve	3,111.65	3,696.14	4,410.87	6,081.23	6,734.74
Transfer to Special Reserve	-	-	500.00	3,000.00	3,200.00
Transfer to Capital Reserve	2,291.68	666.47	4.62	4,166.41	507.00
Transfer to / (from) Investment Reserve Account (net)	61.66	233.13	-295.00	529.42	-
Transfer to / (from) Investment Fluctuation Reserve	1,712.00	-	82.00	378.00	-
Dividend pertaining to previous year paid during the year	-	3,592.40	8,604.52	8,404.42	14,826.19
Transfer to / (from) Minority Interest (opening adjustment)	-	-48.00	-63.00	-288.00	-383.00
Balance carried over to consolidated balance sheet	78,594.20	99,062.77	1,20,369.35	1,50,045.57	1,78,692.55
Total	**93,650.89**	**1,16,646.95**	**1,45,059.88**	**1,88,001.49**	**2,20,837.82**
V. EARNINGS PER EQUITY SHARE (Face value ₹1/- per share)					
Basic	57.88	68.77	82.64	90.42	92.81
Diluted	57.61	68.31	82.27	90.01	92.39

Disclaimer: Not a recommendation **(NSE: HDFCBANK)**

CASHFLOW STATEMENT OF HDFC BANK

PARTICULARS (₹ in Cr.)	Mar '21	Mar '22	Mar '23	Mar '24	Mar '25
Cash flows from operating activities:					
Consolidated profit before income tax	42,772.58	50,775.24	61,346.80	75,184.14	93,594.13
Adjustments for:					
Depreciation on fixed assets	1,385.01	1,680.73	2,345.47	3,092.08	3,805.23
(Profit) / loss on revaluation of investments	1,485.32	-1,546	545.82	-6,957.00	3,909.10
Amortisation of premium / (discount) on investments	765.47	821	851.20	966.09	87.07
Profit on sale of fixed assets	0.29	3.25	-8.00	-75	-22
(Profit) / loss on sale of investment in subsidiary	-	-	-	-7,341.00	8.00
Provision / charge for non performing assets	13,927.01	13,286.95	13,561.19	12,540.05	15,385.24
Floating provisions	-	-	-	10,900.00	-
Provision / (write-back) for standard assets and contingencies	5,283.07	5,418.21	292.89	1,578.23	-1,211.00
Employee stock options / units expense	-	341.24	787.06	1,731.73	2,086.05
	65,618.75	70,780.55	79,722.38	91,618.40	1,17,642.16
Adjustments for:					
Increase in investments	-50,157	-10,849	-64,182	-88,412.00	(1,80,363)
Increase in advances	(1,55,681)	(2,48,946)	(2,54,569)	(3,09,211)	(1,69,918)
Increase in deposits	1,87,513.74	2,24,282.15	3,24,660.22	3,36,964.81	3,34,010.95
(Increase)/ decrease in other assets	8,307.68	-40,045.00	-58,910.00	-31,197.00	-10,830.00
Increase / (decrease) in other liabilities and provisions	-105.00	7,655.94	10,459.86	6,420.40	13,117.98
Increase in policyholders' funds	-	-	-	35,728.16	43,289.99
	55,497.90	2,878.59	37,181.19	41,912.18	1,46,950.52
Direct taxes paid (net of refunds)	-13,021	-14,838	-16,367	-22,843	-19,709
Net cash flows from/ (used in) operating activities	**42,476.45**	**-11,960**	**20,813.70**	**19,069.34**	**1,27,241.84**
Cash flows from investing activities:					
Purchase of fixed assets	-1,696	-2,236	-3,467	-4,287	-4,076
Proceeds from sale of fixed assets	15.28	19.91	42.68	99.82	100.72
Proceeds from sale of investment in subsidiary (net)	-	-	-	9,500.67	192
Investment in subsidiaries	-	-	-	-	-67
Net cash flow (used in) / from investing activities	**-1,681**	**-2,216**	**-3,424**	**5,313.77**	**-3,851**
Cash flows from financing activities:					
Increase in minority interest	56.12	135.83	198.96	1,201.66	2,382.88
Proceeds from exercise of convertible equity warrants	-	-	-	3,192.81	-
Proceeds from issue of share capital other than warrants	1,760.10	2,609.76	3,415.83	5,249.73	6,346.50
Proceeds from issue of Tier 1 and Tier 2 capital instruments	356.5	8,312.75	23,000.00	2,350.00	1,182.00
Redemption of Tier 1 and Tier 2 capital instruments	-1,105	-3,650	-12,077	-230	-500
Net proceeds / (repayments) in other borrowings	-8,389	44,308.08	18,007.29	-7,343	-97,063
Dividend paid during the year	-	-3,592	-8,605	-8,404	-14,826
Net cash flow from/ (used in) financing activities	**-7,321**	**48,124.02**	**23,940.56**	**-3,983**	**(1,02,478)**
Effect of fluctuation in foreign currency translation reserve	-142	165.1	431.71	104.94	199.73
Net increase in cash and cash equivalents	**33,332.40**	**34,113.22**	**41,762.08**	**20,504.99**	**21,113.39**
Cash and cash equivalents at the beginning of the year	**87,940.11**	**1,21,272.51**	**1,55,385.73**	**1,97,147.81**	**2,28,834.51**
Cash and cash equivalents acquired on amalgamation	-	-	-	11,181.71	-
Cash and cash equivalents at the end of the year	**1,21,272.51**	**1,55,385.73**	**1,97,147.81**	**2,28,834.51**	**2,49,947.90**

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HDFC BANK FINANCIAL RATIOS

PARTICULARS	Mar '21	Mar '22	Mar '23	Mar '24	Mar '25
Per Share Ratios					
Basic EPS (Rs.)	57.88	68.77	82.64	90.42	92.81
Diluted EPS (Rs.)	57.61	68.31	82.27	90.01	92.39
Dividend Per Share	**6.50**	**15.50**	**19.00**	**19.50**	**22.00**
Cash EPS (Rs.)	60.30	71.83	86.91	90.22	100.95
Book Value [ExclRevalReserve]/Share (Rs.)	380.59	445.99	518.73	600.77	681.88
Book Value [InclRevalReserve]/Share (Rs.)	380.59	445.99	518.73	600.77	681.88
Operating Revenue Per Share	233.19	245.13	306.03	373.37	439.57
Net Profit/Share (Rs.)	**57.79**	**68.80**	**82.71**	**86.15**	**95.97**
NP After MI And SOA / Share (Rs.)	57.74	68.62	82.44	84.33	92.51
Key Performance Ratios					
ROCE (%)	3.57	3.38	3.10	2.63	2.62
CASA (%)	46.07	48.13	44.37	38.13	34.74
Net Profit Margin (%)	24.78	28.06	27.02	23.07	21.83
Net Profit After MI And SOA Margin (%)	24.76	27.99	26.93	22.58	21.04
Operating Profit Margin (%)	**32.96**	**34.96**	**36.37**	**25.78**	**25.58**
Return On Assets (%)	1.76	1.79	1.81	1.58	1.61
Return On Equity/Networth (%)	15.17	15.38	15.89	14.03	13.56
Net Interest Margin (%)	3.85	3.64	3.67	3.21	3.47
Cost To Income (%)	36.21	36.94	40.61	59.98	61.53
Interest Income/Total Assets (%)	7.14	6.40	6.74	7.03	7.65
Non-Interest Income/Total Assets (%)	1.51	1.49	1.34	3.08	3.06
Operating Profit/Total Assets (%)	0.25	0.30	0.48	-1.46	-1.39
Operating Expenses/Total Assets (%)	1.94	1.89	2.03	3.77	4.02
Interest Expenses/Total Assets (%)	3.29	2.75	3.07	3.82	4.18
Valuation Ratios					
Enterprise Value (Rs.Cr)	22,37,407.93	24,70,099.59	29,20,214.84	40,28,967.13	46,00,318.32
EV Per Net Sales (X)	17.40	18.17	17.10	14.20	13.68
Price To Book Value (X)	**3.92**	**3.30**	**3.10**	**2.41**	**2.68**
Price To Sales (X)	6.40	6.00	5.26	3.88	4.16
Retention Ratios (%)	100.00	100.00	100.00	86.88	100.00
Earnings Yield (X)	0.04	0.05	0.05	0.06	0.05

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VALUATION AS PER DIVIDEND DISCOUNT MODEL

EXPECTED EARNINGS AND DIVIDEND FOR HDFC BANK

PARTICULARS	FY 25A	FY 26E	FY 27E	FY 28E	FY 29E	FY 30E
EARNINGS GROWTH RATE		**11.07%**	**11.07%**	**11.07%**	**11.07%**	**11.07%**
RETURN ON EQUITY	14.00%	14.00%	14.00%	14.00%	14.00%	14.00%
NET INCOME (in Cr.)	70,792.25	78,627.82	87,330.66	96,996.77	107,732.76	119,657.05
PAYOUT RATIO	23.70%	20.94%	20.94%	20.94%	20.94%	20.94%
DIVIDEND (in Cr.)	16,780.84	16,464.67	18,287.04	20,311.12	22,559.24	25,056.19
DIVIDEND PER SHARE	**22**	**22**	**24**	**27**	**29**	**33**

VALUATION AS PER DIVIDEND DISCOUNT MODEL (MULTI-STAGE)

PARTICULARS	FY 25A	FY 26E	FY 27E	FY 28E	FY 29E	FY 30E
DIVIDEND PER SHARE	22	22	24	27	29	33
COST OF EQUITY (Ke)	12.68%	12.68%	12.68%	12.68%	12.68%	12.68%
GROWTH RATE (g)	-	11.07%	11.07%	11.07%	11.07%	11.07%
PV OF DIVIDENDS	22	19.09	18.82	18.55	18.29	18.03

CALCULATION OF TERMINAL VALUE

NET INCOME FOR FY31 (in Cr.)	132,901.17
DIVIDEND FOR FY31 (in Cr.)	71197.06
DIVIDEND PER SHARE	93.04
TERMINAL VALUE	1505.52
PV OF TERMINAL VALUE	**828.80**

CALCULATION OF COST OF EQUITY

INDUSTRY P/B	
INDUSTRY ROE	15
RISK FREE RATE (g)	6
COST OF EQUITY (Ke)	12

CALCULATION OF INTRINSIC VALUE

PV OF DIVIDENDS	114.78
PV OF TERMINAL VALUE	828.80
VALUE PER SHARE	**943.59**
SHARE PRICE	**945.05**
	overvalued

RETURN ON EQUITY	14.00%
RISK FREE RATE (g)	6.50%
COST OF EQUITY (Ke)	12.68%
PAYOUT RATIO IN STABLE GROWTH	53.57%

TOTAL SHARES OUTSTANDING	7,652,221,674
BASIC EPS FOR FY25	92.80
DIVIDEND PER SHARE FOR FY25	22.00
ROE FOR FY 25	14.00%
DIVIDEND PAYOUT RATIO	20.94%
EXPECTED GROWTH IN EARNINGS	11.07%

RELATIVE VALUATION AS PER COMPARABLE COMPANIES

	Financials					Valuations			
Company Name	Share Price	Market Cap(Cr)	No. Eq. Shares (Cr.)	BVPS	Net Profit	CAR(%)	NIM(%)	P/B	P/E
HDFC Bank	950.30	1,460,538.56	1,536.03	337.22	73,342.55	19.55%	3.47%	2.8x	19.9x
ICICI Bank	1,348.10	963,722.17	714.37	436.52	56,562.90	16.55%	3.68%	3.1x	17.0x
Kotak Mahindra	1,991.60	948,471.13	198.86	740.29	19,150.01	23.30%	4.25%	2.7x	49.5x
Axis Bank	1,132.20	1,677,307.80	310.28	552.42	28,003.16	17.07%	3.40%	2.1x	59.9x
SBI	872.45	805,325.23	923.06	923.06	82,549.65	14.25%	2.60%	1.7x	9.8x
IndusInd Bank	735.55	57,304.93	77.91	843.33	1,174.99	16.24%	3.43%	0.9x	48.8x
Indian Bank	750.70	1,01,116.59	134.70	530.92	10,970.10	17.94%	2.87%	1.4x	9.2x
Bank of Baroda	258.54	133,721.46	517.14	283.29	19,618.41	17.19%	2.66%	0.9x	6.8x
Punjab National Bank	112.83	1,29,674.88	1,149.29	110.21	16,728.33	17.01%	2.33%	1.0x	7.8x
Canara Bank	123.71	1,12,213.03	907.07	109.11	16,826.31	16.33%	2.24%	1.1x	6.7x
High						23.30%	4.25%	3.1x	59.9x
75th Percentile						17.75%	3.46%	2.5x	41.6x
Average						**17.54%**	**3.09%**	**1.8x**	**23.5x**
Median						**17.04%**	**3.14%**	**1.5x**	**13.4x**
25th Percentile						16.39%	2.62%	1.0x	8.1x
low						14.25%	2.24%	0.9x	6.7x

Adjustment-based Relative Valuation

Relative Performance Ratios for NIM and CAR	
NIM Ratio	1.11
CAR Ratio	1.15
Adjustment factor	1.13
Adjusted P/B	1.72
Adjusted P/E	15.1

HDFC Bank Relative Valuation	Adjusted P/B	Adjusted P/E
Implied Value Per Share	**581.51**	**720.96**
	overvalued	overvalued

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DUPONT ANALYSIS

Return on Equity (ROE)

	Mar '21	Mar '22	Mar '23	Mar '24	Mar '25
Net Profit	31,833.21	38,052.75	45,997.11	64,062.04	70,792.25
Average Shareholders Equity	193084.45	228568.2	267823.2	371031.4	485863.4
Return on Equity (%)	**16.49%**	**16.65%**	**17.17%**	**17.27%**	**14.57%**

ROE - Dupont Equation

	Mar '21	Mar '22	Mar '23	Mar '24	Mar '25
Net Profit	31,833.21	38,052.75	45,997.11	64,062.04	70,792.25
Revenue	1,28,552.00	1,35,936.00	1,70,754.00	2,83,649.00	3,36,367.00
Net Profit Margin (A)	**24.76%**	**27.99%**	**26.94%**	**22.58%**	**21.05%**
Revenue	1,28,552.00	1,35,936.00	1,70,754.00	2,83,649.00	3,36,367.00
Average total Asset	16,90,168.54	19,61,220.47	23,26,683.37	32,80,313.35	42,11,305.84
Asset Turnover Ratio (B)	**0.08X**	**0.07X**	**0.07X**	**0.09X**	**0.08X**
Average total Asset	16,90,168.54	19,61,220.47	23,26,683.37	32,80,313.35	42,11,305.84
Average Shareholders Equity	1,93,084.45	2,28,568.18	2,67,823.24	3,71,031.42	4,85,863.37
Financial Leverage (C)	**8.75X**	**8.58X**	**8.69X**	**8.84X**	**8.67X**
Return on Equity (A*B*C)	**16.49%**	**16.65%**	**17.17%**	**17.27%**	**14.57%**

Return on Asset (ROA)

	Mar '21	Mar '22	Mar '23	Mar '24	Mar '25
Net Profit	31,833.21	38,052.75	45,997.11	64,062.04	70,792.25
Average total Asset	16,90,168.54	19,61,220.47	23,26,683.37	32,80,313.35	42,11,305.84
Return on Asset (ROA)	**1.88%**	**1.94%**	**1.98%**	**1.95%**	**1.68%**

ROA - Dupont Equation

	Mar '21	Mar '22	Mar '23	Mar '24	Mar '25
Net Profit	31,833.21	38,052.75	45,997.11	64,062.04	70,792.25
Revenue	1,28,552.00	1,35,936.00	1,70,754.00	2,83,649.00	3,36,367.00
Net Profit Margin (A)	**24.76%**	**27.99%**	**26.94%**	**22.58%**	**21.05%**
Revenue	1,28,552.00	1,35,936.00	1,70,754.00	2,83,649.00	3,36,367.00
Average total Asset	16,90,168.54	19,61,220.47	23,26,683.37	32,80,313.35	42,11,305.84
Asset Turnover Ratio (B)	**0.08X**	**0.07X**	**0.07X**	**0.09X**	**0.08X**
Return on Asset (A*B)	**1.88%**	**1.94%**	**1.98%**	**1.95%**	**1.68%**

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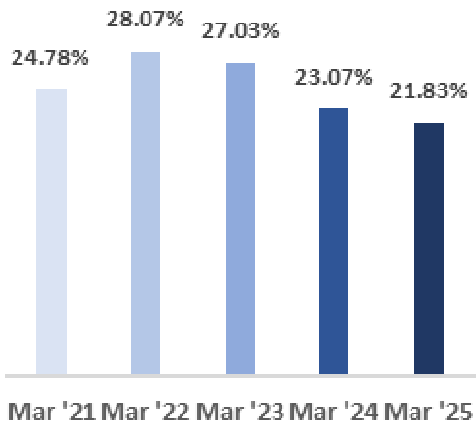
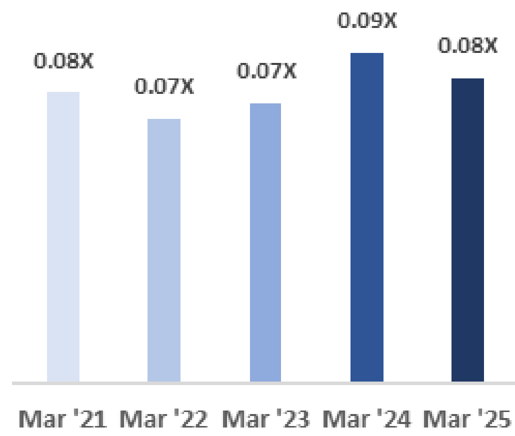
DUPONT ANALYSIS

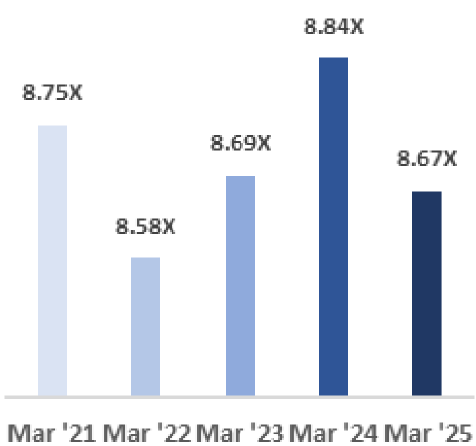
NET PROFIT MARGIN (%)



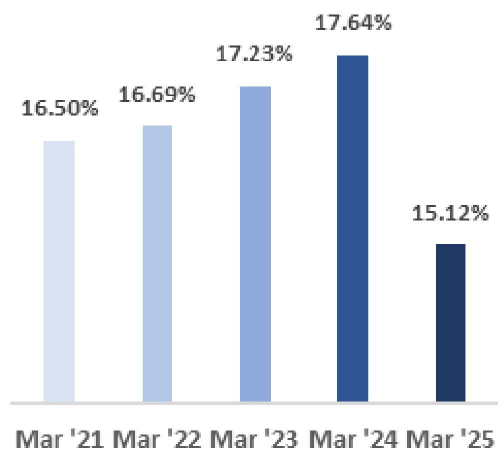
ASSET TURNOVER RATIO (x)



FINANCIAL LEVERAGE (x)



RETURN ON EQUITY (%)



SUMMARY

1) There has been some recent pressure on overall profitability, as indicated by the Return on Equity (ROE), which peaked at 17.23% in March 2023 and then fell to 15.12% in March 2025.

2) The net profit margin peaked in March 2022 at 28.07%, but it gradually decreased, reaching 21.83% by March 2025, which may indicate a decline in operational efficiency or higher expenses.

3) The asset turnover ratio stayed low and steady (between 0.07x and 0.09x), indicating low asset efficiency and the company's low revenue generation per rupee of assets used.

4) Despite remaining constant over the years, financial leverage has remained high, averaging between 8.7x and 8.9x, indicating a substantial reliance on debt to increase return on equity.

5) Relatively stable between 1.9% and 2% between 2021 and 2024, return on assets (ROA) fell to 1.74% in 2025, indicating a minor decline in the efficiency with which assets produce profits.